

SWIGGY INSTAMART – REGAIN MARKET POSITION

Capstone Project Proposal

Abstract

This document sheds light on Swiggy Instamart's declining market share in the quick commerce industry and proposes research to find possible solutions.

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Swiggy Instamart – Pioneer of quick commerce in India



2020 was the year of unprecedented health crisis due to Covid-19. As the world came to a grinding halt, businesses were wondering how to tackle the situation & survive. The situation was no different at Swiggy whose main food delivery business was affected due to lockdown restrictions. Only essential services like groceries, vegetables, dairy, medicines were allowed to operate. That's when Swiggy considered pivoting its business to deliver groceries in 30-45 mins.

The idea was win-win for both, customers who wanted to avoid getting outside as much as possible and the company who could use its existing delivery setup for grocery deliveries.

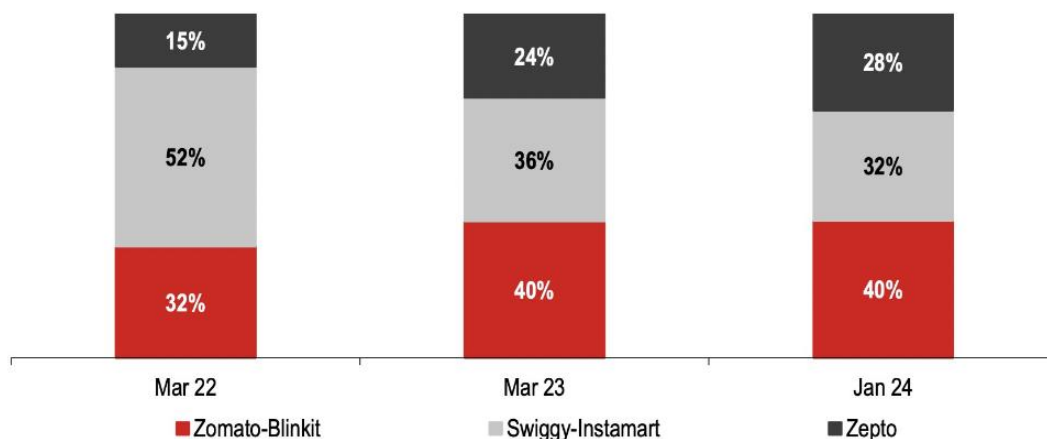
Instamart's grocery deliveries in 30-45 mins was an advanced move then as other players like Grofers, BigBasket had slotted deliveries spanning across several hours. Covid had further worsened the situation for the incumbents due to shortage of delivery partners & delayed supplies. All this played in favour of Swiggy who expanded its quick commerce service to 11 cities and boasted a promising 7.5 lakh user base in just one year!

2021 – The year that re-defined quick commerce

Year 2021 saw the rise of ultra-fast delivery model of groceries & essentials which further shortened the delivery time to 10 minutes. The new entrants like Zepto and Blinkit (Grofers re-branded by Zomato) saw potential opportunity in changing buying behaviour of the urban consumers and jumped on the q-commerce bandwagon.

Swiggy Instamart in 2024

A report from HSBC Global Research has highlighted the fact that Swiggy Instamart's share in the q-commerce market fell from 52% in March 2022 to 32% in January 2024. At the same time, the industry has shown staggering growth of 230% between 2021 and 2023. The following exhibit shows how the market share has shifted amongst the top players between 2022 and 2024:



Source: Zepto data/estimates and HSBC estimates

The report stresses on the alarming fact that Swiggy Instamart is losing its market share to its competitors in spite of having the first mover advantage. If the trend continues, it will further worsen the situation for Instamart as more and more players enter the fray. It is crucial for Swiggy Instamart to introspect and carry out a detailed business analysis to understand strategic changes needed to sustain the competition. It needs to act swiftly to regain its market position.

Project Objective

The project objective is to study the evolving quick commerce industry in India and assess why Swiggy Instamart is losing the ground in the category that it pioneered and was leading once. Quick commerce continues to grab attention of new and established companies alike with Flipkart, Reliance and even Ola announcing & commencing their 10 min delivery pilots already. What strategic changes Swiggy should undertake to sustain the fierce competition in this market?

The objective is also to study what consumers value the most during their online shopping experience and what factors can influence them to choose Swiggy Instamart & gradually shift most of their online shopping onto this platform. What are their current unmet needs on other quick commerce platforms that can be addressed to retain & attract more customers. What opportunities in this market are still to be uncovered, tapping which can give competitive edge to Instamart.

Approach to Problem Solving

We will take a 3-step systematic approach to address Instamart's business problem of decreasing market share & explore untapped opportunities in the quick commerce market.



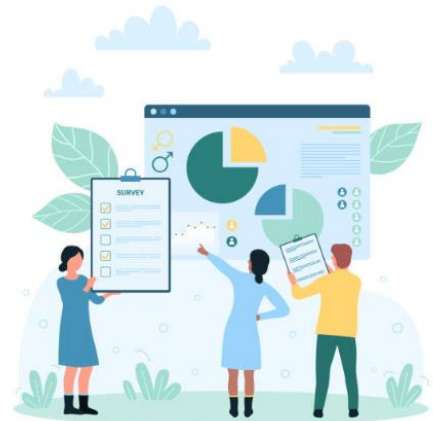
1. Business Strategy Analysis

As a first step, we will do detailed analysis of Swiggy Instamart's business strategies and evaluate their effectiveness as guided by several frameworks. We will also deep dive into dynamics of the quick commerce industry to understand industry size, growth potential, strengths & weaknesses of competitors, total addressable market and so on.

2. Product Analytics

In order to address Instamart's problem of losing market share, we will conduct interviews with q-commerce users to understand their needs, expectations & factors they consider while making buying decision. Based on insights from the discussions, we will conduct a survey to get the data on these important factors.

We will use several analytical methods to deduce actionable insights about Instamart's performance and identify areas of improvement. We will also use the survey data to evaluate if it suggests any strategic changes to stay ahead in the competition.



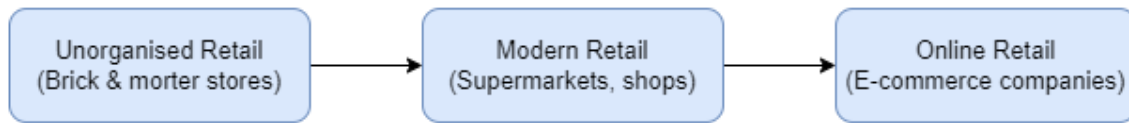
3. Agile Execution

Swiggy Instamart being a technology enabled online retail business, we will evaluate the development & execution processes using modern frameworks viz. Design thinking, Lean & Agile.

With lots of moving parts & interdependencies between them, execution efficiency plays vital role in business success. Time to market is another important aspect due to intense competition in this industry.

About Quick Commerce Industry in India

India has witnessed a radical shift in retail market over the last decade. The global retail trade evolution typically has three phases:



In India, however, the urban retail market is on the cusp of moving from unorganised to e-commerce, more precisely q-commerce directly. The HSBC report suggests that India would have relatively low penetration for modern retail.

Today's q-commerce with 10 min deliveries started in late 2021 and has gained massive traction since then. Blinkit, with 40% of market share & \$2 billion in gross merchandise value (GMV) is the leader. Zepto has also recorded impressive 15% growth in market share & has reached \$1 billion in GMV. Swiggy Instamart, on the other hand, has lost the market share by 40% in the same time period.

The quick commerce industry has grown by 230% between 2021 and 2023 and it is estimated to cross \$6 billion in gross sales by 2025. The current penetration is at 7% in the total addressable market (TAM) of \$45 billion. The top players of the industry aim to be Ebitda-positive by 2024. All major q-commerce platforms are widening their offerings beyond groceries to include electronics, accessories, beauty, toys, health, home appliances and much more, posing a potential threat to e-commerce giants like Amazon & Flipkart.

The quick commerce companies operate through a network of dark stores that are strategically located in targeted customer areas. A dark store is like a mini warehouse which is typically located in basement area and unlike kirana stores, is not accessible to customers. The q-commerce companies heavily rely on technology to continuously optimize their operations for speed & efficiency. They use advanced inventory & warehouse management systems that are cloud-based for real-time updates and ML algorithms to predict demand & supply of goods. The entire flow from order placement to last mile delivery is completely automated using in-house or other enterprise softwares.

Prior Work

The following articles/content on the internet was referred to understand the current state of quick commerce industry in India and potential problems with Swiggy Instamart's market position.

From all these sources, it is evident that the quick commerce industry is growing at a pace that no one could ever imagine. The top players in the market have turned this seemingly heavy cash-burn business into a soon-to-be profitable one. Research by The Ken indicates how q-commerce has changed the way urban consumers shop online by expanding the product portfolio beyond just groceries & essentials.

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<https://officechai.com/startups/zepto-blinkit-have-eaten-into-swiggy-instamarts-marketshare-in-last-2-years-report/>

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<https://the-ken.com/story/1500-stories-about-indias-complex-relationships-with-swiggy-instamart-blinkit-zepto-and-bigbasket/>

<https://blog.swiggy.com/2022/04/04/five-things-you-probably-didnt-know-about-swiggy-instamart/>

<https://blog.swiggy.com/2021/09/02/its-our-first-birthday-and-wed-like-to-thank-all-those-who-helped-us-grow-up/>

<https://the-ken.com/the-nutgraf/the-quick-quick-commerce-rundown/>

<https://www.youtube.com/watch?v=VyqjbDAYyWY>

Data Sources

The secondary data used to prepare this project proposal includes valuable insights drawn from the market research on quick commerce industry and Swiggy Instamart. Data from various reports by the financial research firms like HSBC, JM Financials and quick commerce survey results by The Ken are also referred while developing this proposal.

The primary data will be collected by conducting a survey to understand quick commerce from consumers' perspective. It is imperative to understand consumer preferences, pain points, their perceived value from the quick commerce offerings to stand out in the competition.